

MODEL TEST PAPER 1
INTERMEDIATE: GROUP – II

PAPER – 6A : FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT

PAPER 6A: FINANCIAL MANAGEMENT

Time Allowed – 3 Hours (Total time for 6A and 6B) Maximum Marks – 50

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*
4. *Working note should form part of the answer. Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of note. However, in answers to Questions in Division A, working notes are not required.*

PART I – Case Scenario based MCQs (15 Marks)

Write the most appropriate answer to each of the following multiple choice questions by choosing one of the four options given. All questions are compulsory.

1. NV Industries Ltd. is a manufacturing industry which manages its accounts receivables internally by its sales and credit department. It supplies small articles to different industries. The total sales ledger of the company stands at ₹ 200 lakhs of which 80% is credit sales. The company has a credit policy of 2/40, net 120. Past experience of the company has been that on average out of the total, 50% of customers avail of discount and the balance of the receivables are collected on average in 120 days. The finance controller estimated, bad debt losses are around 1% of credit sales.

With escalating cost associated with the in-house management of the debtors coupled with the need to unburden the management with the task so as to focus on sales promotion, the CFO is examining the possibility of outsourcing its factoring service for managing its receivables. Currently, the firm spends about ₹ 2,40,000 per annum to administer its credit sales. These are avoidable as a factoring firm is prepared to buy the firm's receivables. The main elements of the proposal are : (i) It will charge 2% commission (ii) It will pay advance against receivables to the firm at an interest rate of 18% after withholding 10% as reserve.

Also, company has option to take long term loan at 15% interest or may take bank finance for working capital at 14% interest.

You were also present at the meeting; being a financial consultant, the CFO has asked you to be ready with the following questions:

Consider year as 360 days.

- I. What is average level of receivables of the company?
 - a. ₹ 53,33,333

- b. ₹ 35,55,556
 - c. ₹ 44,44,444
 - d. ₹ 71,11,111
- II. How much advance factor will pay against receivables?
- a. ₹ 31,28,889
 - b. ₹ 39,11,111
 - c. ₹ 30,03,733
 - d. ₹ 46,93,333
- III. What is the annual cost of factoring to the company?
- a. ₹ 8,83,200
 - b. ₹ 4,26,667
 - c. ₹ 5,51,823
 - d. ₹ 4,00,000
- IV. What is the net cost to the company on taking factoring service?
- a. ₹ 4,00,000
 - b. ₹ 4,26,667
 - c. ₹ 3,50,000
 - d. ₹ 4,83,200
- V. What is the effective cost of factoring on advance received?
- a. 16.09%
 - b. 13.31%
 - c. 12.78%
 - d. 15.89%

(5 x 2 = 10 Marks)

2. Ramu Ltd. wants to implement a project for which ₹ 25 lakhs is required. Following financing options are at hand:

Option 1:

Equity Shares	25,000 @ ₹ 100
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Option 2:

Equity Shares	10,000 @ ₹ 100
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12% Preference Shares	5,000 @ ₹ 100
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10% Debentures	10,000 @ ₹ 100
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What is the indifference point & EPS at that level of EBIT assuming corporate tax to be 35%.

- (a) ₹ 2,94,872; ₹ 11.80
- (b) ₹ 3,20,513; ₹ 8.33

- (c) ₹ 2,94,872; ₹ 7.67
 (d) ₹ 3,20513; ₹ 12.82 **(2 Marks)**
3. "If EBIT increases by 6%, net profit increases by 6.9%. If sales increase by 6%, net profit will increase by 24%.
 Financial leverage must be -....."
- (a) 1.19
 (b) 1.13
 (c) 1.12
 (d) 1.15 **(2 Marks)**
4. What is the maximum period for which company can accept Public Deposits?
 (a) 1 year
 (b) 6 months
 (c) 3 years
 (d) 5 years **(1 Marks)**

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

*Attempt any **two** questions out of the remaining **three** questions.*

1. (a) The following figures have been extracted from the annual report of Xee Ltd.:

Net Profit	₹ 54 lakhs
Outstanding 12% preference shares	₹ 200 lakhs
No. of equity shares	2 lakhs
Return on Investment	22%
Cost of capital i.e. (K_e)	15%

COMPUTE the approximate dividend pay-out ratio so as to keep the share price at ₹ 120 by using Walter's model?

(Decimal may be taken up to 2 units)

(5 Marks)

- (b) Capital structure (in market-value terms) of AN Ltd is given below:

Company	Debt	Equity
AN Ltd.	50%	50%

The borrowing rate for the company is 10% in a no-tax world and capital markets are assumed to be perfect.

Required:

- (i) If Mr. R, owns 8% of the equity shares of AN Ltd., DETERMINE his return if the Company has net operating income of ₹ 10,00,000 and the overall capitalization rate of the company (K_o) is 20%.
- (ii) CALCULATE the implied required rate of return on equity of AN Ltd.

(5 Marks)

- (c) ANVY Ltd. has furnished the following ratios and information for the year end 31st March, 2023:

Equity share capital ₹ 2,00,000

The relevant ratios of the company are as follows:

Current debt to total debt 0.50

Total debt to Equity share capital 0.60

Fixed assets to Equity share capital 0.70

Total assets turnover 2.5 Times

Inventory turnover 10 Times

You are required to PREPARE the Balance Sheet of ANVY Ltd. as on 31st March, 2023.

(5 Marks)

2. (a) NC Ltd. Is considering purchasing a new machine to increase its production facility. At present, it uses an old machine which can process 5,000 units of TVs per week. NC could replace it with new machine, which is product specific and can produce 15,000 units per week. New machine cost ₹ 100 crores and requires the working capital of ₹ 3 crores, which will be released at the end of 5th year. The new machine is expected to have a salvage value of ₹ 20 crores.

The company expects demand for TVs to be 10,000 units per week. Each TV sells for ₹ 30,000 and has Profit Volume Ratio (PV) of 0.10. The company works for the 56 weeks in the year. Additional fixed costs (excluding depreciation) are estimated to increase by ₹ 10 crores. The company is subject to a 40% tax rate and its after-tax cost of capital is 20%. The relevant rate of depreciation is 25 % for both taxation and accounts. The company uses the WDV method of depreciation. The existing machine will have no scrap value.

You are required to:

ADVISE whether the company should replace the old machine.

(Decimal may be taken up to 2 units)

(8 Marks)

- (b) WRITE a short note on “Cut-off Rate”.

(2 Marks)

3. (a) Ram Ltd evaluates all its capital projects using discounting rate of 16%. Its capital structure consists of equity share capital, retained earnings, bank term loan and debentures redeemable at par. Rate of interest on bank term loan is 1.4 times that of debenture. Remaining tenure of debenture and bank loan is 4 years and 6 years respectively. Book value of equity share capital, retained earnings and bank loan is ₹ 20,00,000, ₹ 30,00,000 and ₹ 20,00,000 respectively. Debentures which are having book value of ₹ 30,00,000 are currently trading at ₹ 98 per debenture. The ongoing PE multiple for the shares of the company stands at 4.

You are required to:

- (i) CALCULATE the rate of interest on bank loan and
- (ii) CALCULATE the rate of interest on debentures

Tax rate applicable is 30%.

(8 Marks)

- (b) DISCUSS the dividend-price approach to estimate cost of equity capital.

(2 Marks)

4. (a) EXPLAIN the limitations of profit maximization objective of Financial Management. **(4 Marks)**
- (b) WHAT are the methods of venture capital financing? **(4 Marks)**
- (c) WHAT is 'Optimum Capital Structure'? **(2 Marks)**

OR

EXPLAIN the concept of Financial Leverage as 'Trading on Equity'.

(2 Marks)